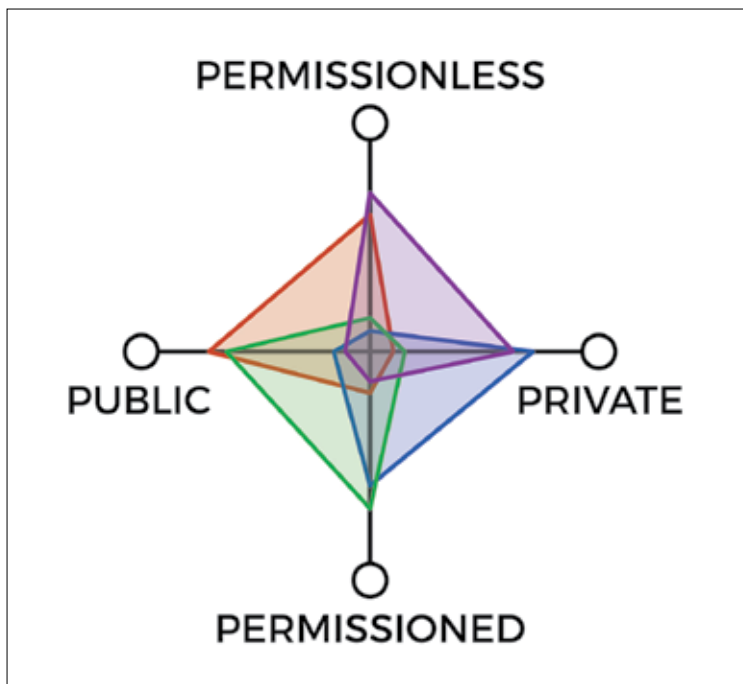


validates the creation of a block by solving a result for a hash function. Then all the other members validate the result by putting the result back into the function. If the result fits in the function, the member who proposed the result and its proof is rewarded. This method assumes that a member would not cheat the system as they would require spending on real-world resources, computers, and electricity, to solve these functions. PoS is developed to overcome the two major drawbacks of PoW - massive requirement of resources and a chance of one member controlling the majority of blockchain with incredibly powerful hardware. Instead of rewarding for the amount of work done, PoS system rewards the member based on how much their existing wealth they were willing to lock up for the validation. The wealth of each member has an age attached to it, higher the age and the value, increase the stakes proportionately. The proof, in this case, is the stakes you had in the transaction by locking up your funds. Therefore, the more money you lock up, the more chance of a reward.



Blockchain permissions